

**The determinants of Stock Market participation of
undergraduates: Evidence from Faculty of Management
Studies and Commerce in University of Sri
Jayewardenepura**

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CHAPTER ONE

BACKGROUND OF THE STUDY

1.1 Introduction

The stock market refers to public markets that exist for issuing, buying, and selling stocks that trade on a stock exchange or over-the-counter. Stocks, also known as equities, represent fractional ownership in a company, and the stock market is a place where investors can buy and sell ownership of such investible assets. Most of the developed countries like, United States of America, United Kingdom, France, Japan and Germany have strong and efficient stock markets. Also Sri Lanka has the famous stock market. We call it as Colombo Stocks Exchange (CSE). Our research will be focused on the Participation of undergraduates in Colombo Stocks Exchange.

The importance of stock market and its linkage to economy is explained by (Demirgüç-Kunt and Levine, 1996) that countries with better developed stock markets also have better-developed banks and nonbank financial intermediaries such as finance companies, mutual funds, investment companies, brokerage houses, and pension funds, while countries with weak stock markets tend to have weak financial intermediaries. This implies that stock market development goes hand-in-hand with other aspects of financial development.

This study is concerned with the determination of stock market participation among undergraduates. Undergraduates of the faculty of management studies and commerce in university of Sri Jayewardenepura will be the survey study because Faculty of Management studies and commerce recognized as the south Asian best management faculty and also it is the most famous management faculty around the country. The study focuses on the factors that influences to the stock market participation among undergraduates who are reading their degree in faculty of management studies and commerce: USJP

1.1.1 Colombo Stock Exchange

The CSE is a company limited by guarantee, established under the Companies Act No. 17 of 1982 and is licensed by the Securities & Exchange Commission of Sri Lanka (SEC). The CSE is a mutual exchange and has 15 full members and 16 Trading Members licensed to trade both equity and debt securities, while three members are licensed to trade in debt securities only. All members are licensed by the SEC to operate as stockbrokers. All members are corporate entities and some

are subsidiaries of large financial institutions. At present the CSE functions as a market operator and through its fully owned subsidiary, Central Depository Systems (Pvt.) Limited (CDS), acts as a clearing and settlement system facilitator. The CSE also oversees compliance through a set of rules, promotes standards of corporate governance among listed companies and is actively involved in educating investors. In the course of its operations, the CSE interacts with many customers and stakeholders which include issuers (such as companies, corporations and unit trusts), commercial banks, investment banks, fund managers, stockbrokers, financial advisers, market data vendors and investors. The Colombo Stock Exchange (CSE) has 295 companies representing 20 GICS industry groups as at 30th June 2022, with a Market Capitalization of Rs. 3,184.16Bn.

The Colombo Stock Exchange is a self-regulating exchange, its functions are fairly limited. Essentially, the exchange is responsible for monitoring its market but the greater authority falls upon the Securities and Exchange Commission (SEC) of Sri Lanka. The SEC, Sri Lanka, possesses a variety of powers and functions that allow it to supervise and enforce regulations in the Sri Lankan capital markets.

(Source: - www.sseinitiative.org)

1.1.2 Broker companies of Sri Lanka

Based on the findings of the researcher, there are mainly 22 broker companies in Sri Lanka. The main information required for new investors coming to the stock market was found and included this research.

NO	Stock Boker Name	Minimum investment to Online Trading Access	Online Trading Platform
01	Acuity Stockbrokers (Pvt) Ltd.	No Minimum Investment	Intellect
02	Asha Securities Limited.	Rs. 200,000.00	Direct FM
03	Asia Securities (Pvt) Ltd.	Rs. 200,000.00	A-trad
04	Bartleet Religare Securiies (Pvt) Ltd.	Rs. 10,000.00	Intellect
05	Capital Alliance Securities (Pvt) Ltd.	Rs. 500,000.00	Intellect
06	Capital Trust Securities (Pvt) Ltd.	Rs. 100,000.00	A-trad
07	CT CLSA Securities (Pvt) Ltd.	Rs. 50,000.00	A-trad
08	Enterprise Ceylon Capital (Pvt) Ltd.	No Minimum Investment	A-trad
09	First Capital Equities (Pvt) Ltd.	Rs. 50,000.00	A-trad
10	First Guardian Equities (Pvt) Ltd.	No Minimum Investment	A-trad
11	JB Securities (Pvt) Ltd.	Rs. 300,000.00	
12	John Keells Stock Brokers (Pvt) Ltd.	Rs. 200,000.00	Direct FM
13	Lanka Securities (Pvt) Ltd.	RS. 50,000.00	A-trad
14	LOLC Securities (Pvt) Ltd.	Rs. 50,000.00	A-trad
15	National Lanka Equities (Pvt) Ltd.	No Minimum Investment	A-trad
16	NDB Securities (Pvt) Ltd.	Rs. 100,000.00	A-trad
17	Richard Pieris Securities (Pvt) Ltd.	No Minimum Investment	A-trad
18	SC Securities (Pvt) Ltd.	Rs. 100,000.00	A-trad
19	SMB Securities (Pvt) Ltd.	Rs. 10,000.00	Direct FM
20	Softlogic Securities (Pvt) Ltd.	Rs. 100,000.00	Direct FM
21	Somerville Stock Broker (Pvt) Ltd.	No Minimum Investment	Direct FM
22	Taprobane Securities (Pvt) Ltd.	Rs. 200,000.00	A-trad

Table 1: Stock Broker Companies

(Source: - Researcher owns findings)

1.1.3 Faculty of Management Studies and Commerce of University of Sri Jayewardenepura

The Faculty of Management Studies and Commerce (FMSC) of the University of Sri Jayewardenepura (SJP) has been the gateway to success for over 50,000 students. In its illustrious history of 60 years of academic excellence, we have spearheaded the development of management

education in Sri Lanka through our programmes designed to meet the needs of Sri Lanka's economy and of its business managers.

In all spheres, the University's work is closely linked to that of industrial, commercial and academic establishments locally, nationally and internationally. In this expanding environment, quality of university education is of paramount importance. We offer 12 degree programmes with more than 300 subjects. Our research activities are a strong indication of innovation and intellectual challenge that demonstrates our leadership in management education in the country. Therefore, we at FMSC offer learning heightened by cutting-edge research and innovation with a rare combination of practical and relevant knowledge and transferable skills, which are essential for teamwork, communication and leadership to build your career.

FMSC is a dynamic, forward looking and modern faculty. Irrespective of whether one intends to study at undergraduate level (internal or external) or postgraduate level, at the FMSC you will find intellectual challenge and stimulation in a highly competitive environment. The FMSC is committed to realise the vision and mission of the University whilst furthering the management education of the country. The faculty has 12 departments.

Departments of the Faculty	Degree Programmes
Accounting (ACC)	B.Sc. Accounting (Special)
Business Administration (BUS)	B.Sc. Business Administration (Special)
Business Economics (BEC)	B.Sc. Business Administration (Business Economics) (Special)
Commerce (COM)	B. Com. (Special)
Decision Sciences (DSC)	B. Sc. Operations and Technology Management (Special)
Entrepreneurship (ENT)	B.Sc. Entrepreneurship (Special)
Estate Management and Valuation (EMV)	B.Sc. Estate Management and Valuation (Special)
Finance (FIN)	B.Sc. Finance (Special)
Human Resource Management (HRM)	B.Sc. Human Resource Management (Special)
Information Technology (ITC)	B.Sc. Business Information Systems (Special)
Marketing Management (MAR)	B.Sc. Marketing Management (Special)
Public Administration (PUB)	B.Sc. Public Management (Special)

Table 2: Departments of the faculty

(Source: - www.mgt.sjp.ac.lk)

1.2 Background to Study

There is a highly relationship between the stock market participation and stock market liquidity. According to the World Federation of Exchange, Liquidity of the Colombo Stocks Exchange in 2020 is 15 982 USD millions. However according to the WFE report that, the market capitalism of The Colombo Stock Exchange is one of the five lowest stock exchange markets in the Asia-Pacific region. Colombo Stock Exchange could only increase its capitalism by 1.7% in 2020 (WFE, 2020). The size of the Colombo Stock Exchange is small compared to other stock markets in the region. Therefore we have to attract more investors to the Colombo Stock Exchange. Attraction of undergraduates to the Colombo Stock Exchange and increase the participation of undergraduates in Colombo Stock Exchange is the main objective of this research. For that, we have to identify what are the factors that effect to the participation of Undergraduates in the Stock Market.

Investment of stock markets is the major investment method in world wide. Successful stock market trading provides increased income for undergraduates, increases savings of undergraduates, increases the financial literacy of undergraduates.

Also it increases the development of the economy. Focusing on liquidity, (Bencivenga and Smith, 1991; Levine and Zervos, 1998) argue that stock market liquidity plays a key role in economic growth. Without a liquid stock market, many profitable long-term investments would not be undertaken because savers would be reluctant to tie up their investments for long periods of time.

Liquidity has also been argued to increase investor incentive to acquire information on firms and improve corporate governance (Holmström and Tirole, 1993), thereby facilitating growth. Levine further argued that a liquid stock market complements a strong banking system, suggesting that banks and stock markets provide different bundles of financial services to the economy.

The main concern here is the issue of the liquidity to Colombo Stock Exchanges that was left behind for years without considering issues of individual participation on the stock market as a solution to accelerate liquidity through the increasing of, number of buyers and sellers to stock market. Therefore if there is a high participation in the stock market we can argue that the liquidity of the stock market will be increased. Furthermore, we can use well-educated undergraduates to increase the stock market participation as a solution. To the best knowledge of the researcher, there

is no study in Sri Lanka conducted on determination of stock market participation of undergraduates, hence this study provide solutions to issues relating to individual investors on stock market and provide the basis of other researchers to conduct studies on stock market.

1.3 Statement of the problem

Based on the background study, the undergraduate's participation in the stock market is of paramount importance for it to be liquid. In Sri Lanka, however, the majority of the undergraduates do not participate in the stock market. The question is therefore, why is it so? This calls for the need to examine the determinants of stock market participation among undergraduates. The current study intends to cover this gap.

1.4 Objectives of the study

The general objective of this study is the determinants of stock market participation of undergraduates. Specifically the study focuses on empirical examination of the influence of three attributes namely: Awareness about the stock market, Income of the undergraduates and Ability of access to the internet on stock market participation.

1.5 Research Questions

The following research questions are intended to address by this research. The primary research objective of this study is to identify,

1) How the four factors are affecting for Stock market participation of undergraduates?

In this question, researcher uses Awareness about stock market, the Income of the undergraduate and the Ability of access to the internet as the independent variables of the current study. Based on this questionnaire, Researcher wants to know whether these factor/s have a higher level of impact on the stock market participation of undergraduates or not. Based on the answers of the questionnaire, if there is a higher level of impact, these factor/s can be identify as a determinant/s of the stock market participation of undergraduates. If there is a lower level of impact or no impact, these factor/s cannot be identify as determinant/s for stock market participation of undergraduates.

Apart from that, the researcher's intention is to provide suggestions for appropriate stakeholders to increase the Stock market participation of undergraduates. Therefore, the secondary research question is,

2) What are the suggestions for stakeholder to increase the Stock market participation of undergraduates?

1.6 Significance/ important

The study will have significance to the following issues:

- I. To academicians: the study provides reference to the academicians as basis for other researches, and as a guide to some concepts as far as the stock market participation is concerned in Sri Lanka.
- II. To government: the study provides some issues about stock market participation of undergraduates as recommendations at the end which can be applied by the Government to provide solutions to problems on stock market participation in Sri Lanka in order to increase the strength of the Colombo Stock Market and enhancement of economic growth in the country.
- III. The study is useful for improvement of the stock market in terms of individual participation and liquidity due to recommended solutions as suggested by researcher.
- IV. To the Securities & Exchange Commission of Sri Lanka, as the controller of the security market in Sri Lanka, the study is helpful on ways to increase participants on the market so as to increase liquidity.

1.7 Scope and Limitation of the Study

The scope of the study will be based only on determinants of stock market participation among undergraduate of Faculty of Management Studies and Commerce at USJP as related to Colombo Stock Exchange; this is due to the current economic crisis and country situation, time limit, resources limit and Covid situation that led to some of the interested parties or partners of stock market not being included in this study. Those participants are financial institutions like Broker companies, financial banks and another main participant is the Securities & Exchange Commission of Sri Lanka, moreover, the researcher will focus on four factors to determinants of stock market

participation, and hence suggestions and recommendations on this category were of vital importance and help to the researcher.

1.8 Delimitation of the Study

This research will be conducted within the following parameters, Participants and non- participants of shares under CSE market, and will be limited to determinants of stock market participation of undergraduates based on primary data collected from Faculty of management studies and commerce in University of Sri Jayewardenepura.

CHAPTER TWO

LITERATURE REVIEW

2.1 Introduction

The main objective of this study is identifying what are the determinants stock market participation among undergraduate. As the determinants that we use are Awareness about stock market, the Income of the undergraduate and the Ability of access to the internet. In this literature review chapter, this chapter is going to show a review from various authors, academicians, professional journals and newsletters. On other hand here the literature review that covers findings of others or previous researchers on the same study or related study stock market participation.

2.2 Theoretical Literature Review

This part covers theories that relate to the study of determination of stock market participation of undergraduates. The main contents of the theory are explained under this part in terms of definition of the theory, main assumptions of the theory, prediction of the theory and its link with this study. There are various theories that could explain stock market participation but the following theories are relevant for this study.

2.2.1 Risk Aversion Theory

Risk aversion is a concept in finance that explains a situation where by investors can face risks during market participation. The major concern of investors is to mitigate these risks or uncertainties so as to gain from the market. The theory assumes that individuals tend to invest in the market that is risk free and assume that high return investments have higher risks, low returns with lower risks and medium returns with normal risks.

Several scholars have predicted this theory in the following dimensions, (Hong et al, 2005) assert that socialization can encourage peer groups to participate in the stock market since they will be Aware of the risks, returns of the market and are less risk averse on market participation. On the other hand (Rabin, 2003) predicts that the diminishing marginal utility of wealth theory of risk aversion is psychological intuitive and people are approximately neutral to risk when stakes are small. This implies that wealthy people are risk lovers hence are good investors compared to other groups.

Given that, Income is an economic determinants under this study and the scholars have shown their impact with respect to behaviour and attitudes towards risk by individual investors. Therefore it is plausible to argue that risk aversion theory can be relevant to study market participation intentions.

2.2.2 Theory of Innovation Diffusion

This theory explains the relationship between communication of innovations (new ideas) and its social system. The theory is said to be popularized by (Rogers and Cartano, 1962). The theory assumes that the market participants adopts technology when that technology is either familiar or has shown some benefits to the users, hence the number of users of the technology increases as its usefulness diffuses to the community or market.

Several scholars have provided a detailed prediction and extension of the theory as follows. (Brancheau and Wetherbe, 1990) assert that social forces affect the introduction and diffusion process within an organization; these social forces can be defined as anything in society with the capability to cause change or anything that influences people: for example, education, religion, economy, social values, age grades, sex and the like. (Dwivedi and Lal, 2007) predict that socio-economic factors like awareness about stock market, income, age and sex have an effect on the diffusion theory and it influences people to invest in innovation.

The factors of awareness about stock market (education) and income of the undergraduates which are predicted by scholars are the variables under this study. In due course the theory of innovation diffusion applied in the adoption of broadband in Pakistan can be of vital importance to this study by determining the stock market participation factors in Sri Lanka with respect to undergraduate perspective.

2.2.3 Theory of Technological Acceptance Model

Is a theory that explains the intention of use or non-use of technology? The theory was put forward by (Davis, 1989). This formulation of technological acceptance model has been developed as a result of extensive testing and refinement (Venkatesh and Davis 1996, 2000). Venkatesh and Davis extended the original TAM model to explain perceived usefulness and usage intentions in terms of social influence and cognitive instrumental processes.

Several researchers have replicated Davis's original study (Davis et al, 1989) to provide empirical evidence on the relationships that exist between usefulness, ease of use and system use (Davis et al, 1989; Adams et al, 1992; Hendrickson et al, 1993; Szajna 1994; Groves et al, 2009). (Adams et al, 1992) replicated the work of Davis (Davis et al, 1989) to demonstrate the validity and reliability of his instrument and his measurement scales. Hendrickson et al, (1993) found high reliability and good test-retest reliability. Szajna, (1994, 1996) found that the instrument had predictive validity for intent to use, self-reported usage and attitude toward use.

Ability of access to the internet is an independent variable under this study. Hence the theory has applicability on determinants of stock market participation among undergraduates. The theory of technical acceptance model will be used in this study to determine the intentional use of undergraduates to participate in the stock market investment in Sri Lanka.

2.2.4 Social Interaction Theory

This theory explains the relationship among individuals in terms of social solidarity and social patterns, these individuals are known as peer groups or sociable people. The concept of social solidarity and social patterns under this theory can be explained with reference to peer groups sharing certain common values or knowledge living in the same geographical areas. Some of these peer groups are workmates, Teachers, classmates, households, neighbours, friends and such like. The theory is based on the assumption that there is a direct effect between socialization and market participation (Hong et al, 2005).

Evidence from scholars provides detailed explanations on the effect of peer groups to market participation as Banerjee, (1992); Ellison and Fudenberg, (1993, 1995) many individuals may find it easier to learn how to open a brokerage account by talking to their friends than through other mechanisms. Banerjee and Fudenberg, (2004), (Bikhchandani and Sharma 2000) with a hearing or word of mouth model which postulates that people can hear about the returns incurred on investing in a certain market and become motivated to invest in the same market due to social interaction amongst them and vice versa for those who didn't hear the information. Hong et al, (2005) suggests that social factors have influence on market participation.

Conclusively, since the theory assert the social factors like peer groups are more importance to the stock market participation as discussed by scholars. And also these peer groups are highly effect

to the awareness which is considered as an independent variable in this study. Due to this connection, the same theory will be of vital importance to determine stock market participation by individuals under this study.

2.3 Factors affecting for stock market participation

The following factors have been identified in the literature for the Stock Market Participation.

2.3.1 Awareness about stock market

The degree to which individuals are aware of available financial assets depends on the aggressiveness of asset suppliers to spread the information about the instruments they issue (Guiso, Jappelli, 2005). S R S D K Weerawansa and N S Morage (2019) Said that the financial literacy is a key factor in the investor's decision. Also Atia, (2012) argued that financial literacy is important as it helps them to know the importance of investing in shares.

Guiso and Jappelli, (2005) argued that lack of awareness affect stock market participation amongst individuals. Guiso and Jappelli (2005) also established that individuals often learn about investment opportunities from peers who are already informed about equities. From the arguments above, we can understand that the awareness support to best participation because the probability of becoming informed is an increasing function of the probability of buying and selling stock and make profits. Therefore we can said that there is a relationship between awareness and stock market participation.

2.3.2 Income of the undergraduate

We can see that individual's income is a collaboration of Wages, salaries, profits, interest and other forms of the income received in the giving period time. In the field of public economics, the term may refer to the accumulation of both monetary and non-monetary consumption ability, with the former (monetary) being used as a proxy for total income (Marobe Noel, 2013). Various scholars used income as independent variable in their researchers. R M K T Rathanayaka and D M K N Senevirathna (2018) said that economic conditions of an investor can change the investor's behaviour. Rogers, (1995) described socio-economic status (income) as an income correlate or antecedent of innovativeness. Dwivedi and Lal, (2007) described income as an independent variable that determines the broadband adoption. Thus, we use Income of the undergraduate as an independent variable that make sure to see how affect to the stock market participation.

2.3.3 Ability of access to the internet

In today most of trading are happened in online platforms. In Sri Lanka, Broker Company Facilitate two main online trading platform named as Atrade Platform and DirectFM platform (CSE). Ability of access to the internet we can identify as collection of Equity facilities (a smart phone, a laptop or a computer), awareness about internet use, speed of the internet connection and cost of the Wi-Fi or mobile data.

Barber and Odean, (2002) found that people of young ages who are active traders with online trading platforms. Before came online facilities we have to call to the broker or our financial manager to purchase or sell our stocks. But within online trading Investors can do all those things them self. Therefore lot of young people are more willing to trade with online platform. (Economides, 2001) As a result switching to online trading results in strong individuals stock market participation as compared to the period before online trading and also Bogan, (2008) said that Individuals who regularly use internet have a higher probability of investing in stocks. According above statements if there is a good facilities to access to the internet we can increase active participation of stock market.

2.4 Summary of Literature

Factor of Stock Market Participation	Name of the Author	Type of Relationship
Awareness about stock market	S R D K Weerawansa & N S Morage Atia, C. Guiso, L. & Japelli, T.	Positive Relationship
Income of the undergraduate	R M K T Rathnayaka & D M K N Senevirathna Marobe Noel Dwivedi, Y. K. and B. Lal	Positive Relationship
Ability of access to the internet	Bogan, V. Barber, B.M. & Odean, T.	Positive Relationship

Table 3: Summary of the Literature

CHAPTER THREE

METHODOLOGY

3.1 Research Approach.

This study adopts primarily the quantitative research approach. Therefore, a multiple regression model will be developed for the factors of Stock Market Participation.

3.2 Conceptual Framework.

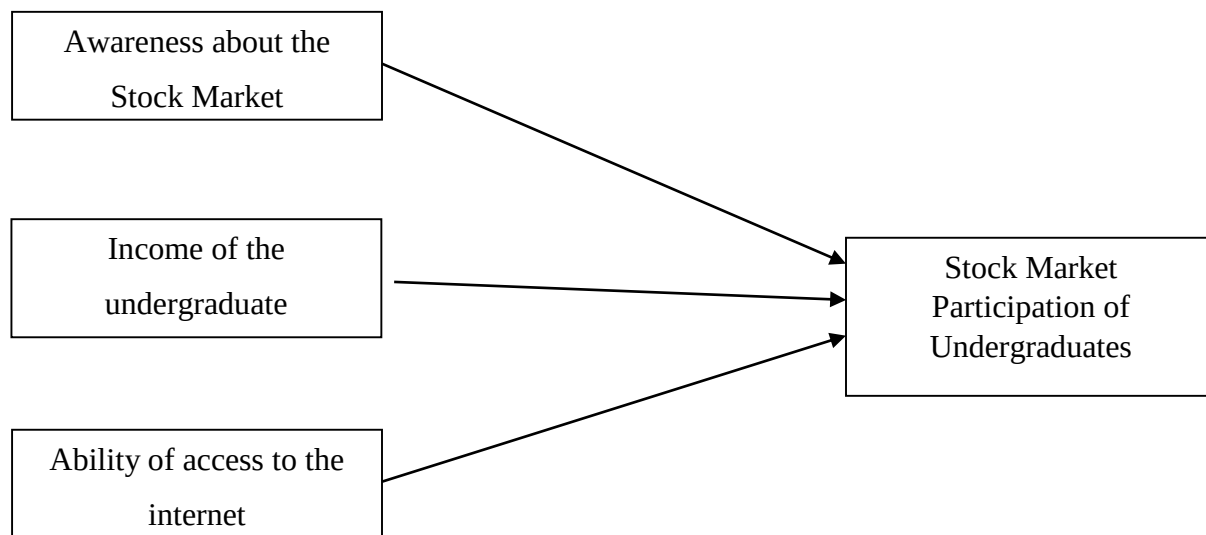


Figure 1: Conceptual Framework

Source: - Researcher's own construction

3.3 Definitions of Variables

There are four main variables under this study. Such as, Awareness about the Stock Market, the Income of the undergraduate and the Ability of access to the internet. These variable under this study can be identified as the independent variables and the stock market participation of undergraduate will be dependent variable.

3.3.1 Awareness about the Stock Market

S R S D K Weerawansa and N S Morage (2019) Said that the financial literacy is a key factor in the investor's decision. Awareness about stock market can be identify as the main factor to increase

the financial literacy about stock market participation. The Researcher developed a definition for this variable. Accordingly, awareness about stock market can be described as the sum of the financial literacy of the undergraduate, awareness of the undergraduate about Colombo Stock Exchange and Risk of the stock market investments. Awareness about the stock market is an independent variable under this study that determines the stock market participation of undergraduate.

3.3.2 Income of the undergraduate

R M K T Rathnayaka and D M K N Senevirathna (2018) said that economic conditions (income) of an investor can change the investor's behaviour. The Researcher developed a definition for this variable. Accordingly, income of the undergraduate can be described as the monthly income of the undergraduate. Undergraduates' main income sources are parents' grants, Mahapola, internship income (job) or another way. Also academic expenditures of the undergraduate highly impact to their monthly income. Income of the undergraduate is an independent variable under this study that determines the stock market participation of undergraduate.

3.3.4 Ability of access to the internet

In today most of trading are happened in online platforms. In Sri Lanka, Broker Company Facilitate two main online trading platform named as Atrade Platform and DirectFM platform (CSE. Barber and Odean, (2002) found that people of young ages who are active traders with online trading platforms. The Researcher developed a definition for this variable. Accordingly, the ability of access to the internet can be described as the ability of access to the internet of the undergraduate. If there is a good internet connection and having good infrastructure facilities like a laptop, a mobile phone and a wifi router it will highly effect to the ability of the access to the internet of the undergraduate and entering to the Colombo Stock Market via online. Thus, the ability of access to the internet is an independent variable under this study that determines the stock market participation of undergraduate.

3.4 Hypothesis.

The following hypothesis has been decided to be tested in this study. Researcher assumes that there should be a relationship between the three factors and stock market participation of undergraduates.

H1: - There is a relationship between awareness about stock market and stock market participation.

H2: - There is a relationship between income of undergraduate and stock market participation.

H3: -There is a relationship between ability of access to the internet and stock market participation.

3.5 Population.

3.5.1 General Population.

This study focuses on undergraduate of state universities. According to the statistics report 2020 of the University Grants Commission, There are 106 641 internal undergraduates in the 15 state universities.

3.5.2 Target Population.

Among the internal undergraduates who are in 15 state universities in Sri Lanka, the researcher has decided to focus on the internal undergraduates of Faculty of Management Studies and Commerce in university of Sri Jayewardenepura - Sri Lanka.

3.6 Sample Size.

A sample of 100 internal undergraduates who are in the faculty of Management Studies and Commerce in university of Sri Jayewardenepura will be selected for this study.

3.7 Selection of Sample.

Researcher intends to adopt non probability sampling technique for the collection of data for this study. Among non-probability sampling techniques, a convenient sampling method has been used in this study.

3.8 Data collection.

Both primary and secondary data will be collected for this study. Primary data will be collected through a semi structured questionnaire and secondary data will be collected from various sources and especially gather details from the web site of the Faculty of Management Studies and Commerce in University of Sri Jayewardenepura, the web site of the University Grants Commission and the web site of the Colombo Stock Exchange. Since this study based on

quantitative approach, researcher will use semi structured questionnaire for the collection of data. Structured questions will be asked from respondents in relation to factors of stock market participation and open ended questions will be asked in relation to suggestions to improve the stock market participation among undergraduates.

3.9 Pilot Study.

Researcher intends to conduct the pilot study with four respondents to check the understand ability of the questions. Based on the responses and comments given by respondents, the questionnaire will be modified or changed.

3.10 Ethical Considerations.

The questionnaire is used to collect data for this study consist two parts as information sheet and question sheet. The information sheet contains the information about this study and the reason of carrying out this study. Therefore, respondent has been clearly informed in advance about the nature of the study.

Before the questions being asked from respondents, the researcher will certify that the findings of this study will only be used for the purpose of the academic purpose and do not reveal to any third party without approval of the respondent. The question paper will be created in English medium.

3.11 Instrument.

Researcher will use a semi structured questionnaire as an instrument of collecting data. Questionnaire consists structured questions for the demographic information and Likert scale for the ranking the factors of stock market participation. There will be an open ended questions to get suggestions to improve the stock market participation among undergraduates. The questionnaire to be used for the collection of data has been attached in annexures. (Refer annexure 6.1).

CHAPTER FOUR

RESEARCH ANALYSIS

4.1 Data analysis

Data collected from this study will be analysed descriptively and inferentially. Demographic data collected will be analysed descriptively. Apart from that, data collected in relation to factors of stock market participation will be analysed inferentially. Researcher will use STATA version 11 for the data analysis. STATA package was used to calculate the Cronbach's alpha test, binary correlation and Probit regression on 100 respondents to analyse the variables determined under this study. Specially, the dependent variable is measured with two possibilities. Because of that Probit Model was used for variable analysis.

Probit Regression can be described as a way to perform regression for binary outcome variables. Binary outcome variables are dependent variables with two possibilities, like yes or no. The Probit model estimates the probability a value will fall into one of the two possible binary outcomes. (See Long at 1997)

4.2 Details of the participants

In this research, 100 undergraduate students from the Faculty of Management Studies and Commerce in the University of Sri Jayewardenepura participated. Out of the 100 participants, 57% were male and 43% were female. Also 18% of the participants were first year undergraduate students and 27% were second year undergraduate students. Among the participants, 18% were third year undergraduate students and the remaining 37% were final year undergraduate students.

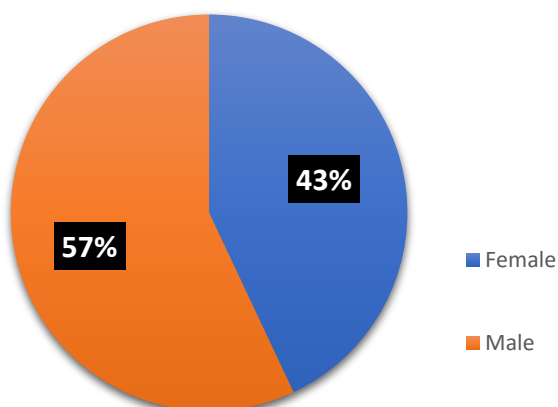


Figure 2: Gender of the participants

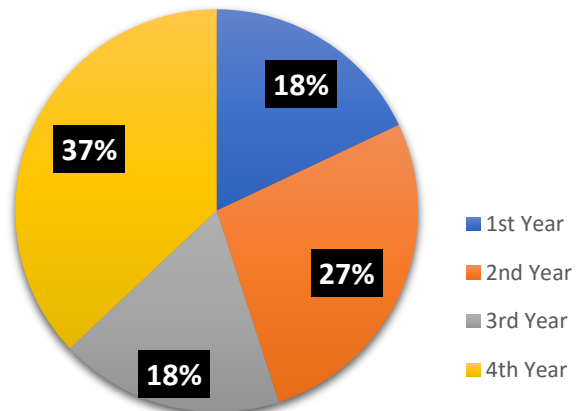


Figure 3: Year of the participants

In addition, undergraduate students from all departments of the Faculty of Management Studies and Commerce of the University of Sri Jayewardenepura participated. Here is the details about the departments of the participants.

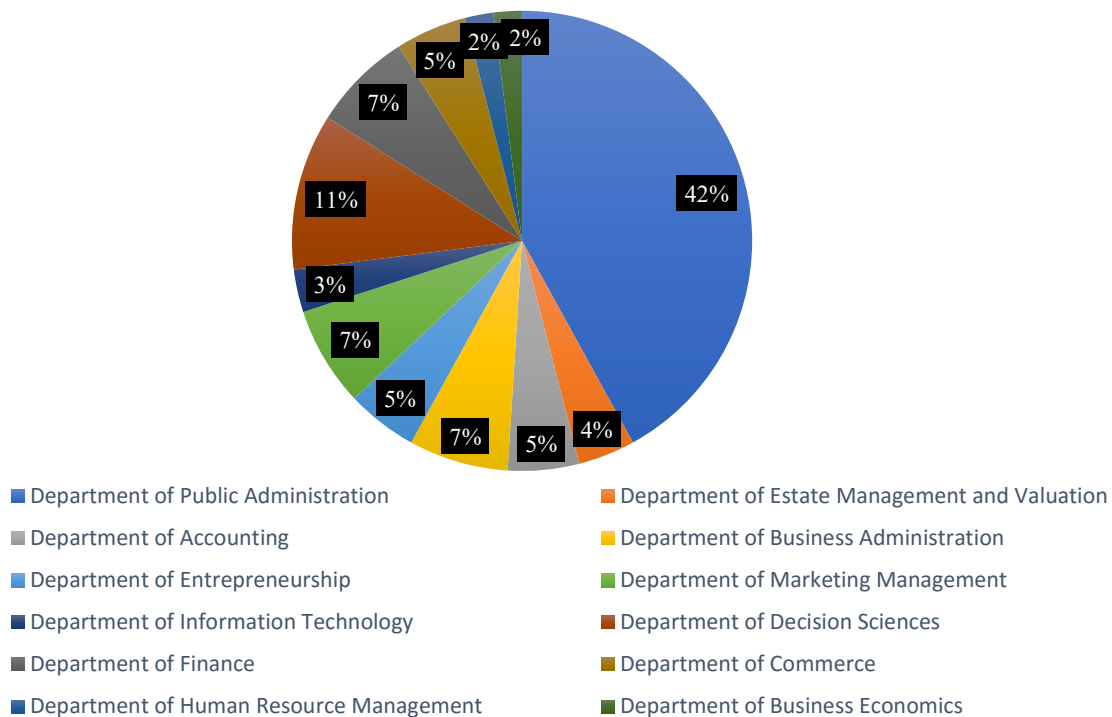


Figure 4: Departments of the participants

Only 33 participants out of the 100 participants have shares in the Colombo Stock Exchange which is the percentage of 23%. Also, only 24 participants of the 100 participants have registered in any broker company. It is a 24% as a percentage.

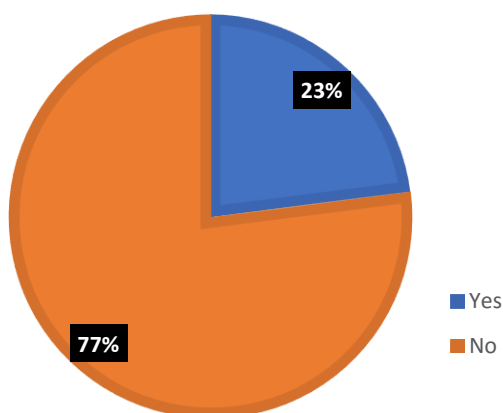


Figure 5: Stock Availability

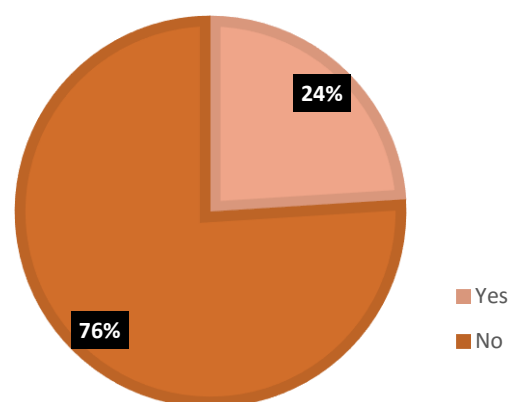


Figure 6: Undergraduates registered in a broker company

4.3 Reliability and Validity of Data

Data reliability and Validity are more important for a successful and meaningful research study. The researcher used a primary survey instrument (self-administered questionnaire) method during data collection. This method is said to be much reliable since it reduces and eliminating differences in the way by which the questions were asked (Cornford and Smithson, 1996)

Moreover, to measure the reliability of the Data, Cronbach's alpha test was done to variables and found to be 0.8596 which is more significant and reliable according to (Hinton et al, 2004)

Average interitem covariance	.3837307
Number of items in the scale	17
Scale reliability coefficient	0.8596

Table 4: Alpha test

4.4 Analysis of the variables

4.4.1 Relationship between the variables

Based on the Pearson correlation analysis, the stock availability and awareness about the stock market have a 0.65 correlation value. When it comes to the income of the undergraduate, the stock availability and the income of the undergraduate have a 0.23 correlation and the stock availability and the ability of access to the internet have not a correlation.

When talk about the undergraduate registered in a broker company, the undergraduate registered in a broker company and awareness about stock market have a 0.64 correlation. However, there is no the correlation between the undergraduate registered in a broker company and the income of the undergraduate. Also there is no the correlation between the undergraduate registered in a broker company and the ability of access to the internet.

	Stock_Ava~y	Reg_Br~r	aware_~x	incom_~x	abilit~x
Stock_Avai~y	1.0000				
Reg_Broker	0.9144*	1.0000			
aware_index	0.6525*	0.6410*	1.0000		
incom_index	0.2323*	0.1643	0.4773*	1.0000	
ability_inde	0.1955	0.1489	0.0247	-0.0273	1.0000

Table 5: Correlation Analysis

4.4.2 Probit Regression of Stock availability of undergraduates with independent variables.

In here Stock availability of the undergraduate (Stock_Availability ~ Y) is the dependent variable and Awareness about stock market, Income of the undergraduate and ability of access to the internet are the independent variables. According to the Probit regression, the Awareness about stock market and Stock Availability have the 0.000 Significant value. When it comes to second independent variable, the income of the undergraduate and Stock Availability have the 0.978 the Significant value. The last independent variable, the ability of access to the internet and Stock Availability have the 0.067 Significant value.

				Number of obs		100
				LR chi2(3)		64.19
				Prob > chi2		0.0000
Log likelihood = -21.830876				Pseudo R2		0.5952
Stock_Avai~y	Coef.	Std. Err.	z	P> z	[95% Conf. Interval]	
aware_ind~x	1.675599	.3826638	4.38	0.000	.9255921	2.425607
incom_ind~x	.0025093	.0662061	0.04	0.970	-.1272522	.1322708
ability_in~x	.2347289	.1279865	1.83	0.067	-.01612	.4855778
_cons	-12.70801	3.899526	-3.26	0.001	-20.35095	-5.065083

Table 6: Probit Regression for the Stock availability

4.4.3 Probit Regression of whether undergraduate register in a broker company with independent variable.

In here, Registered in a broker company (Reg_Broker ~ R) is the dependent variable and awareness about stock market, income of the undergraduate and ability of access to the internet are the dependent variables. According to the Probit Regression, the awareness about the stock market and the undergraduate registered in a broker company have the 0.000 Significant value. When it comes to the second independent variable, Income of the undergraduate and the undergraduate registered in a broker company have the 0.228 Significant value. The last

independent variable, Ability of access to the internet and the undergraduate registered in a broker company have the 0.405 Significant value.

				Number of obs		100	
				LR chi2(3)		60.89	
				Prob > chi2		0.0000	
Log likelihood = -22.244454				Pseudo R2		0.5778	
Reg_Broker~y	Coef.	Std. Err.	z	P> z	[95% Conf. Interval]		
aware_index~x	1.734278	.3996045	4.34	0.000	.9510681	2.517489	
incom_index~x	-.0740281	.0614568	-1.20	0.228	-.1944812	.0464251	
ability_indx~x	.0978359	.1175743	0.83	0.405	-.1326055	.3282773	
_cons	-8.640867	3.292739	-2.62	0.009	-15.09452	-2.187217	

Table 7: Probit Regression for Undergraduate registered in a broker company

4.5 Marginal effect of the variables

Marginal probability effects are the partial effects of each explanatory variable on the probability that the observed dependent variable $Y = 1$ where in Probit models. (M.G. Abott). In this study, the awareness about stock market, the income of the undergraduate and the ability of access to the internet are the independent variables and Stock Market Participation of Undergraduates is the dependent variables. This explains how stock market participation changes when these independent variables increase by one unit.

4.5.1 Marginal effect of Stock availability of undergraduates with independent variables.

According to the marginal effect of Probit model, When the Awareness about stock market is increasing by 1 point, then the probability of the stock availability among undergraduates will be increased by 0. 56377 unit. When the Income of the undergraduate is increasing by 1 point, then the probability of the stock availability among undergraduates will be increased by 0.00008 unit. When the Ability of access to the internet is increasing by 1 point, then the probability of the stock availability of undergraduates will be increased by 0.00789 unit.

Probit regression, reporting marginal effects					Number of obs	100	
					LR chi2(3)	64.19	
					Prob > chi2	0.0000	
Log likelihood = -21.830876					Pseudo R2	0.5952	
Stock_~y	dF/dx	Std. Err.	z	P> z	x-bar	[95% C.I.]	
aware_~x	.0563777	.0544976	4.38	0.000	2.992	-.050436	.163191
incom_~x	.0000844	.0022167	0.04	0.970	13.7	-.00426	.004429
abilit~x	.0078978	.0090049	1.83	0.067	23.16	-.009751	.025547
obs. P	.23 (at x-bar)						
pred. P							

z and P>|z| correspond to the test of the underlying coefficient being 0

Table 8: Marginal Effect of the Stock Availability

4.5.2 Marginal effect of whether undergraduate register in a broker company with independent variable

According to the marginal effect of Probit model, when the awareness about the stock market is increasing by 1 point, then the probability of the undergraduate registered in a broker company will be increased by 0.06149 point. When the income of the undergraduate is increasing by 1 point, then the probability of the undergraduate registered in a broker company will be decreased by 0.00262 point. When the Ability of access to the internet is increasing by 1 unit, then the probability of the undergraduate registered in a broker company will be increased by 0.00346 point.

					Number of obs	100	
					LR chi2(3)	60.89	
					Prob > chi2	0.0000	
Log likelihood = -22.244454					Pseudo R2	0.5778	

Reg_Br~r	dF/dx	Std. Err.	z	P> z	x-bar	[95% C.I.]	
aware_~x	.0614944	.0576857	4.34	0.000	2.992	-.051567	.174556
incom_~x	-.0026249	.0035508	-1.20	0.228	13.7	-.009584	.004335
abilit~x	.0034691	.0055188	0.83	0.405	23.16	-.007348	.014286
obs. P pred. P	.22 .013896 (at x-bar)						

z and P>|z| correspond to the test of the underlying coefficient being 0

Table 9: Marginal Effect of the Undergraduate registered in a broker company

4.6 Discussion of the Findings

Among the all three hypothesis, only one hypothesis has been supported by the binary correlation and the Probit regression. Among the three hypotheses only one hypothesis was significant namely H1 and H2 and H3 were insignificant. According to the data analysis, H1 hypothesis has less 0.05 significant values while H2 and H3 have more than 0.05 significant values. This implies that the among three independent variable selected under this study, only awareness about the stock market significantly associate with the stock market participation of the undergraduate. However the Income of the undergraduate and ability of access the internet failed to make a significantly associate with the stock market participation of the undergraduate.

Binary correlation also indicated strong significant association between three independent variables namely awareness about the stock market, income of the undergraduate and ability of access to the internet and dependent variable namely stock market participation among undergraduate. However, only the awareness about the stock market could able to reach 0.7 correlation value. It emphasizes that the relationship between the awareness about the stock market and stock market participation of the undergraduate is some strong. However, other two variables

namely the Income of the undergraduate and ability of access to the internet have the less than 0.3 correlation value. It implies that these two variables and the stock market participation of the undergraduate have a weak relationship which has not considerable effect on dependent variable.

Theoretical background and literature review illustrated that the three determinants namely awareness about the stock market, income of the undergraduate and ability of access to the internet were significant and have a strong relationship with stock market participation. However, under this study of the undergraduate and ability of access to the internet failed to associate with stock market participation of the undergraduate and also failed to make strong or moderate relationship with stock market participation of the undergraduate.

4.6.1 Awareness about the stock market

Out of 100 participants, only the 23% participants have shares in the CSE and other 77% don not have shares in the CSE. Based on the Probit regression analysis, awareness about the stock market and the stock availability among undergraduates have 0.000 significant value (table 6). Also awareness about the stock market and the Undergraduate registered in a broker company has 0.000 significant value (table 7). Conclusively, it means that there is a relationship between the awareness about the stock market and the stock market participation of the undergraduate. When it comes to the marginal effect, the awareness about the stock has a probability to increase stock availability among undergraduates by 0.05 when the awareness about the stock market increased by 1 point (table 8). When it comes to the Undergraduate registered in a broker company, awareness about the stock market has a probability to increase the Undergraduate registered in a broker company by 0.06 when the awareness about the stock market increased by 1 point (table 9). Also It implies that the awareness about the stock market and the stock market participation of the undergraduate have a positive relationship (table). Based on the Analysis, Hypothesis one (H1) can be accepted.

4.6.2 Income of the undergraduate

Based on the Probit regression analysis, the Income of the undergraduate and the stock availability among undergraduates has the 0.970 significant value (table 6). Also the Income of the undergraduate and the Undergraduate registered in a broker company has the 0.228 significant values (table 7). Conclusively, It means that there is no a relationship between the Income of the undergraduate and the stock market participation of the undergraduate. When it comes to the

marginal effect, the Income of the undergraduate has a probability to increase stock availability among undergraduates by 0.00008 when the Income of the undergraduate increased by 1 point (table 8). When it comes to the Undergraduate registered in a broker company, the Income of the undergraduate has a probability to decrease the Undergraduate registered in a broker company by 0.002 when the Income of the undergraduate increased by 1 point (table 9). When considered these values, these values are very small and not able to make considerable effect on dependent variable. Also the Income of the undergraduate and the undergraduate registered in a broker company has a negative relationship. Because of that, it implies that the Income of the undergraduate and the stock market participation of the undergraduate have not a considerable relationship. Based on the Analysis, Hypothesis 2 cannot be accepted.

4.6.3 Ability of access to the internet

Based on the Probit regression analysis, the ability of access to the internet and the stock availability among undergraduates has the 0.067 significant value (table 6). Also the ability of access to the internet and the Undergraduate registered in a broker company has the 0.405 significant values (table 7). Conclusively, It means that there is no a relationship between the ability of access to the internet and the stock market participation of the undergraduate. When it comes to the marginal effect, Ability of access to the internet has a probability to increase stock availability among undergraduates by 0.007 when the ability of access to the internet increased by 1 point (table 8). When it comes to the Undergraduate registered in a broker company, the Income of the undergraduate has a probability to decrease the Undergraduate registered in a broker company by 0.003 when the ability of access to the internet increased by 1 point (table 9). When considered these values, these values are very small and not able to make considerable effect on dependent variable. Because of that, It implies that the ability of access to the internet and the stock market participation of the undergraduate have not a considerable relationship (table). Based on the Analysis, Hypothesis 3 cannot be accepted.

Chapter Five

Conclusion and Recommendation

5.1 Introduction

In this chapter present the conclusion, recommendation and areas for the further studies. This study provides recommendation to the CSE, then it will help to increase stock market participation among undergraduate in Colombo Stock Exchange in order to accelerate stock liquidity in the country.

5.2 Conclusion

The aim of this study is to determine the determinants of the stock market participation of undergraduates. The study concluded that awareness about the stock market is the determinant of the stock market participation among undergraduates while other two variables namely Income of the undergraduate and Ability of access to the internet were found to be non-determinants of the stock market participation of undergraduates. The findings of this study were supported by binary correlation analysis and Probit regression analysis. The following variable was strongly significant with a Pearson's value of 0.000 these is the awareness about the stock market and Income of the undergraduate and Ability of access to the internet were found to be insignificant.

5.3 Recommendation

In order for the Colombo Stock Exchange to enhance liquidity of the stock market in term to increasing participation of undergraduates, the following recommendations have been suggested by the researcher and participants under this study.

- I. The government of Sri Lanka through CSE must provide education programs to undergraduates. Especially the government can provide funds for these programs. Because of that undergraduates can get awareness about Colombo Stock Exchange without a cost.
- II. The government of Sri Lanka should maintain proper investing environment by providing economic stability in the country.
- III. CSE must provide seminars and training programs to undergraduates as well as academic staffs. Undergraduates can get easily awareness about the stock market by

- providing awareness programs to the academic staffs because undergraduates usually work with academic staffs.
- IV. CSE need to be more transparent and creative to attract new investors especially like young undergraduates. Based on the responses, many of the respondents are not aware even of the functions done by CSE and the because of the busy life of the undergraduates, they will invest in the CSE if CSE have more creativity ways.
 - V. Security Exchange Commission of Sri Lanka should collaborate with University grants Commission to provide workshops and events for state universities on the importance of financial market to the economy of undergraduates and the country. Also UGC should include some inviting based content to their syllabus. This will influence participation of the undergraduates.
 - VI. CSE should collaborate with broker companies to carry out the campaign programs aiming undergraduates. CSE should advice to broker companies to attract more undergraduates providing necessary information to undergraduates.
 - VII. CSE should collaborate with broker companies to provide workshops and events for undergraduates on how to use their Atrade and DirectFM online platforms for trading. Also broker companies should provide necessary information on the internet.
 - VIII. CSE and Security Exchange Commission of Sri Lanka should provide incentives for the undergraduates by reducing trading fees and providing some internship programs to undergraduates who are investing on CSE.
 - IX. CSE should collaborate with internet service providers to provide good internet connection because a poor internet connection disturbs to the online trading. Also should reduce the internet connection cost.
 - X. CSE must arrange CSE field visits for undergraduates, then undergraduates can get an idea about the functions of the Colombo Stock Exchange

5.4 Recommendation for further studies

Lastly this research will provide foundation for other researchers on issues and relationships of the determinants of stock market participation among undergraduates in Sri Lanka. Especially this research identified only the awareness about the stock market has a positive relationship with stock market participation of undergraduates and other two variables don not have considerable relationship with the stock market participation of undergraduates. Hence

other researchers can contribute researchers to find out the reason for that and why there is negative relationship between the undergraduate registered in broker company and income of the undergraduate.

However, this research only focused on the undergraduates who are reading management degree programs in the Faculty of Management Studies and Commerce of University of Sri Jayewardenepura. Also this research do not consider some factors like broker companies, Security Exchange Commission of Sri Lanka and other financial companies which are working with the CSE. The sample size used was only 100 undergraduates. Hence future researchers can do research considering other state universities and can use more samples for their studies than this study.

Lastly, this study focused only three variables namely awareness about the stock market, income of the undergraduate and ability of access to the internet. Thus, this study suggests further investigation on the stock market participation of undergraduates based on other variables which are effect to the stock market participation of undergraduates in Sri Lanka.

CHAPTER SIX

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CHAPTER FIVE

ANNEXURE

6.1 Questionnaire

The determinants of Stock Market participation of undergraduates: Evidence from Faculty of Management Studies and Commerce in University of Sri Jayewardenepura

Questionnaire

K G M S Bandara

Department of Public Administration

Faculty of Management Studies and Commerce

University of Sri Jayewardenepura

Sri Lanka

October 2022

Information Sheet

Dear Participant,

My name is Madushan Sanjeewa Bandara, an undergraduate at the Department of Public Administration, University of Sri Jayewardenepura. I am conducting a study entitled: "The determinants of Stock Market participation of undergraduate: Evidence from Faculty of Management Studies and Commerce in University of Sri Jayewardenepura".

The aim of this study is to examine various factors affecting the participation by undergraduate in stock markets. The study includes undergraduates like you, who have or have not invested in shares of companies trading at the Colombo Stocks Exchange (CSE). I would therefore, like to invite you to be part of this study. Your views are highly valuable.

Participation, however, is voluntary, that is, you can at any time, decide not to complete the questionnaire or you are given the freedom to withdraw from the questionnaire at any time throughout the completion. The questionnaire can take up to 10 minutes of your time to complete. I would like to assure you that you would not be required to incur any expenses by being involved in this study. Either, the information that you provide will strictly be kept confidential. The results of the study will be used research purposes and may be reported in scientific and academic journals.

Whenever you come across any difficulty in the completion of this questionnaire, the researcher is contactable via email at madushanbandara.info@gmail.com and telephone number 071 6683964. . Thank you in anticipation of your involvement.

Date: - 10th October 2022

Question Sheet

Section 1: Demographic Data of participants

Please tick (√) as appropriate.

1.1 Gender:-

Male	
Female	

1.2 Undergraduate year :-

1 st year	
2 nd year	
3 rd year	
4 th year	

1.3 Department:-

Department of Accounting	
Department of Business Administration	
Department of Business Economics	
Department of Commerce	
Department of Decision Sciences	
Department of Entrepreneurship	
Department of Estate Management and Valuation	
Department of Finance	
Department of Human Resource Management	
Department of Information Technology	
Department of Marketing Management	
Department of Public Administration	

Section 2: Factors affecting to the stock market participation

Please tick (✓) as appropriate.

	Strongly Disagree	Disagree	Neutral	Agree	Strongly Agree
2.1 Stock Market Participation					
2.1.1 Do you have stocks in Colombo Stock Exchange?					
2.1.2 Have you registered in a broker company?					
2.2 Awareness about the Stock market					
2.2.1 "I have heard about the Colombo Stock Exchange"					
2.2.2 "I have a good financial literacy"					
2.2.3 "I have a knowledge about the risks of share markets"					
2.2.4 "I know how to enter to the Colombo Stock Exchange properly"					
2.2.5 "I know how to do trades on the Colombo Stock Exchange"					
2.3 Income of the Undergraduates					
2.3.1 "I receive grants from my parents monthly"					
2.3.2 "I receive an income from the Mahapola monthly"					
2.3.3 "I receive an income from my job monthly"					
2.3.4 "I receive an income from my business monthly"					

2.3.5 "I have sufficient income to cover up my daily expenditure"					
2.4 Ability of access to the internet					
2.4.1 "I have a knowledge to use internet"					
2.4.2 "I have a laptop or computer for login to the internet"					
2.4.3 "I have a mobile phone for login to the internet"					
2.4.4 "I have a wifi router or a wifi modem"					
2.4.5 "I have a good internet connection"					

Section 3: Suggestions for Improve the stock market participation among undergraduates

Provide Your Answer within the space given.

3.1 What are the suggestions that you recommend to improve the stock market participation among undergraduates in Sri Lanka?

Thank you for taking time to complete this survey.

K G M S Bandara